



KCB INVESTOR PRESENTATION

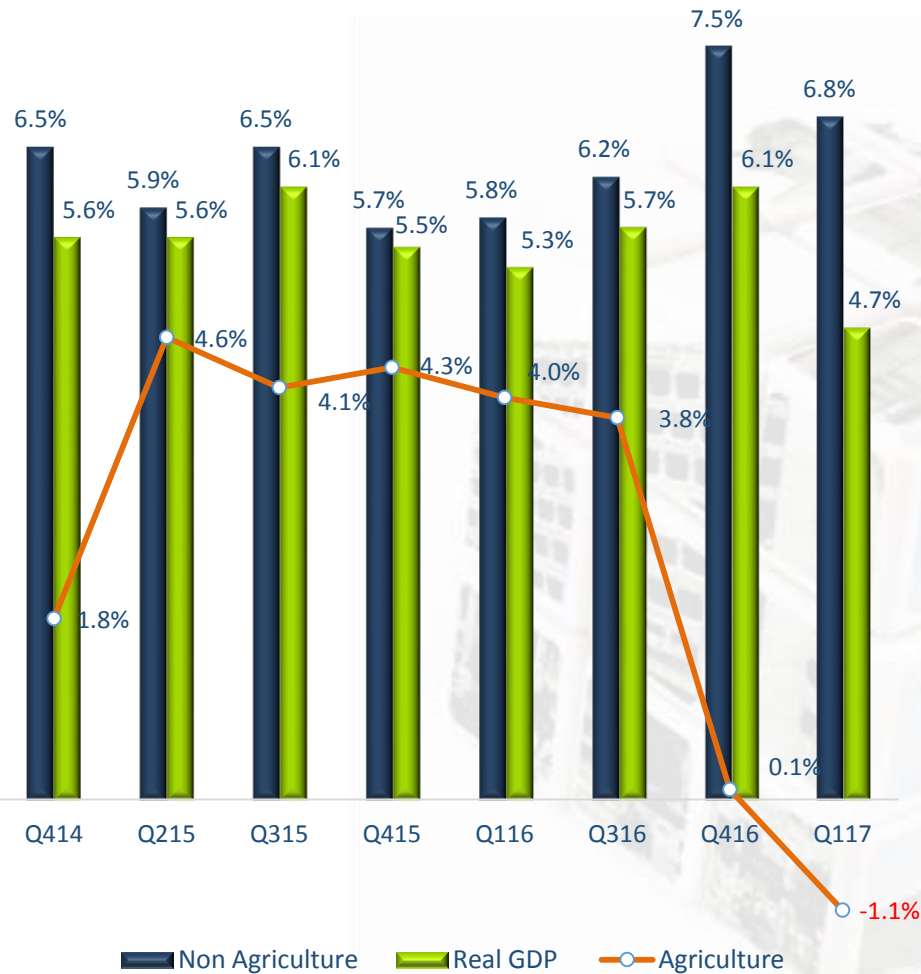
H117 GROUP FINANCIAL RESULTS

AUGUST 2017

JOSHUA OIGARA GROUP CEO & MD | LAWRENCE KIMATHI GROUP CFO

Macro-Economic Highlights: Kenya

GDP Anchored by Non-Agriculture



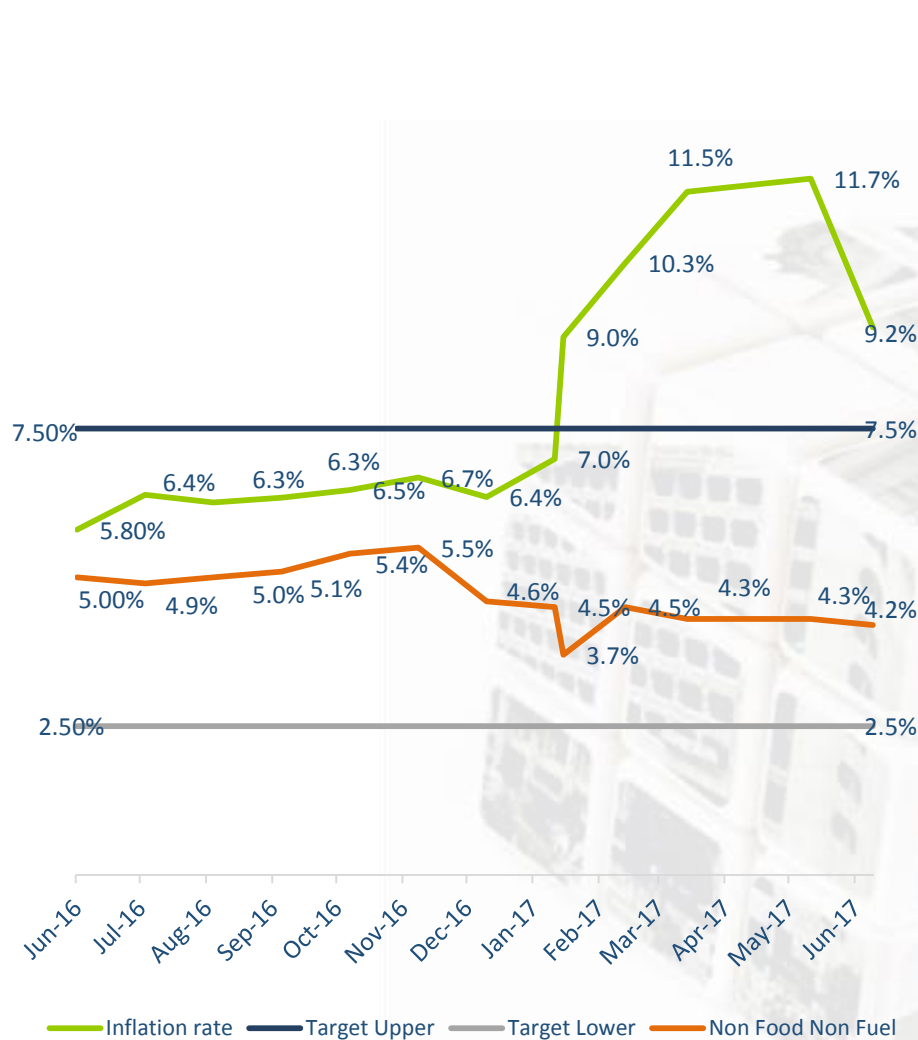
GDP Growth Rate (%)



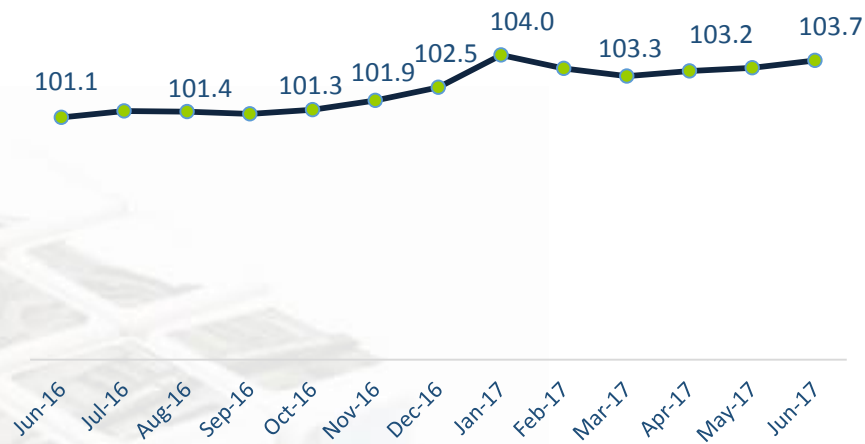
Source: CBK

Macro-Economic Highlights: Kenya

Inflation



USD/KES Exchange Rate



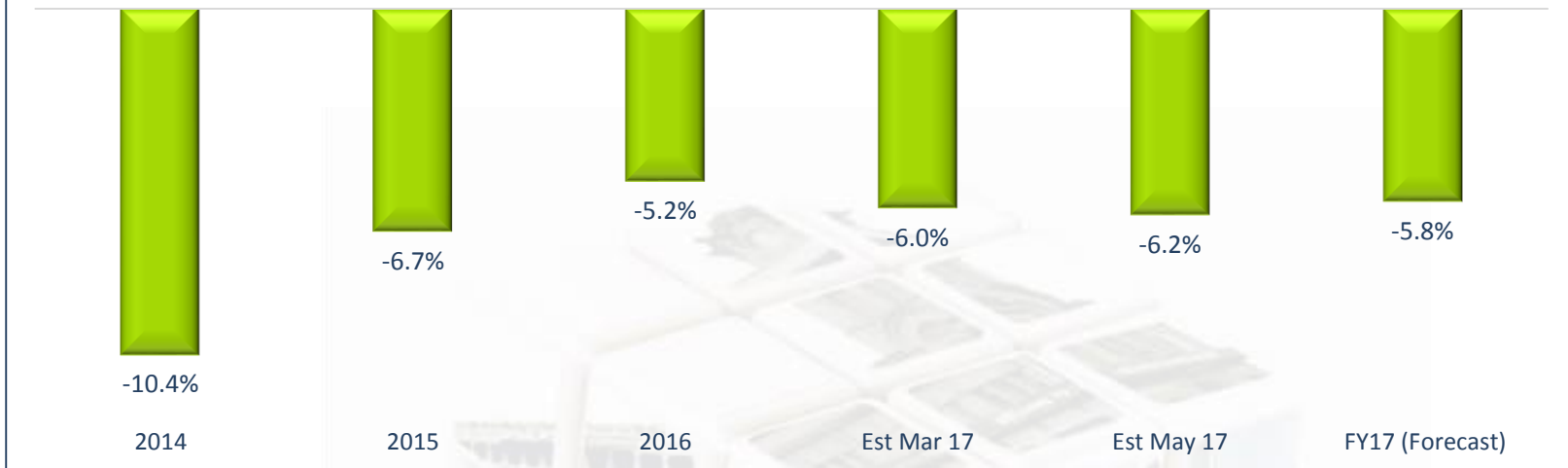
Interest Rate Evolution (%)



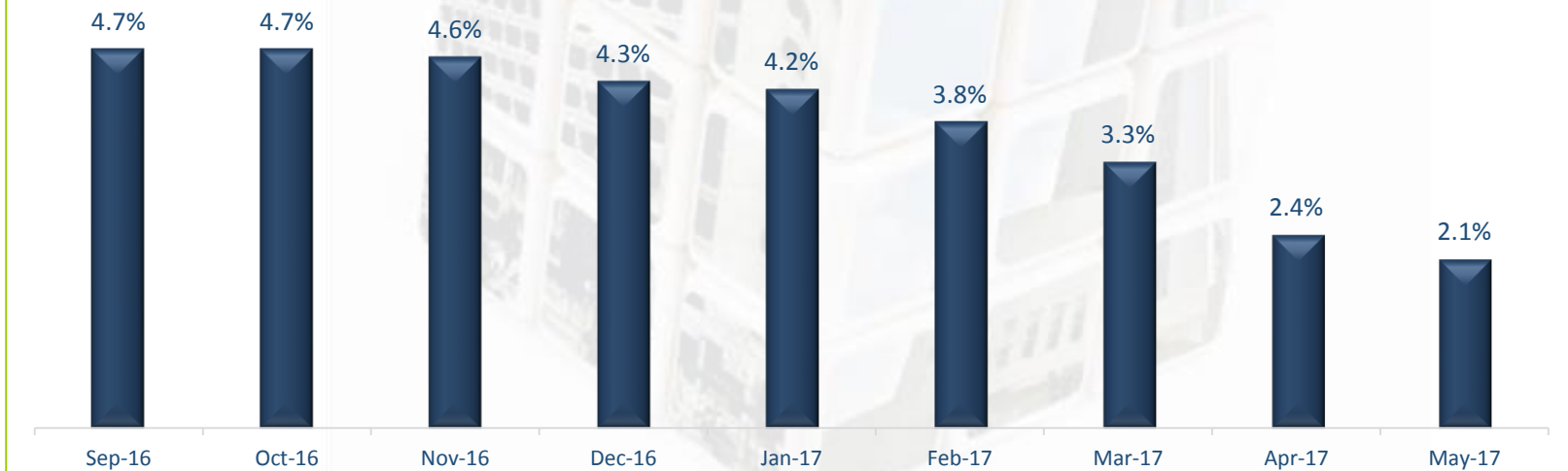
Sources: WB, CBK

Macro-Economic Highlights: Kenya

Current Account Balance (% of GDP)

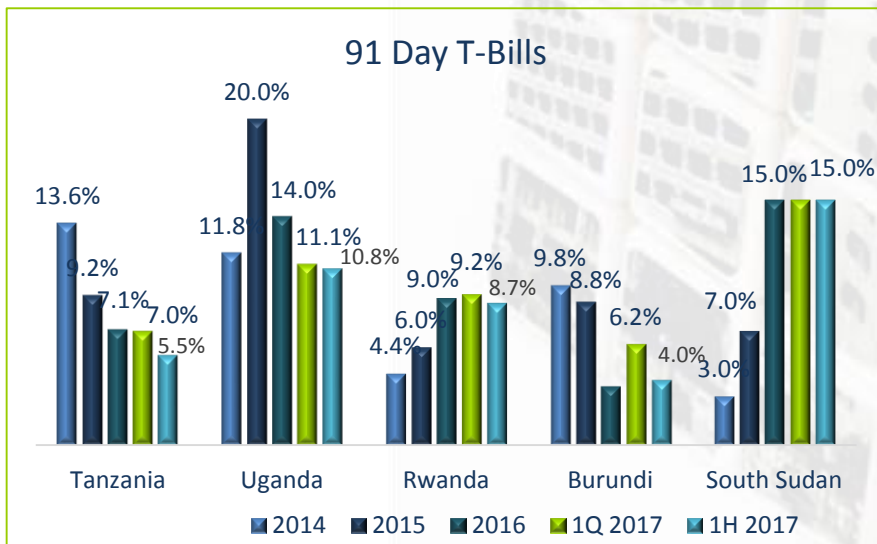
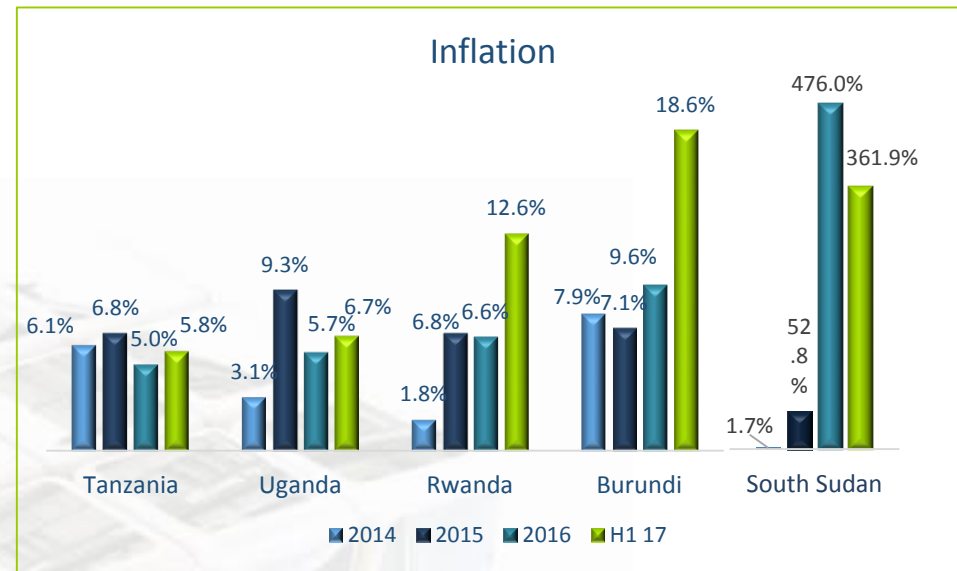
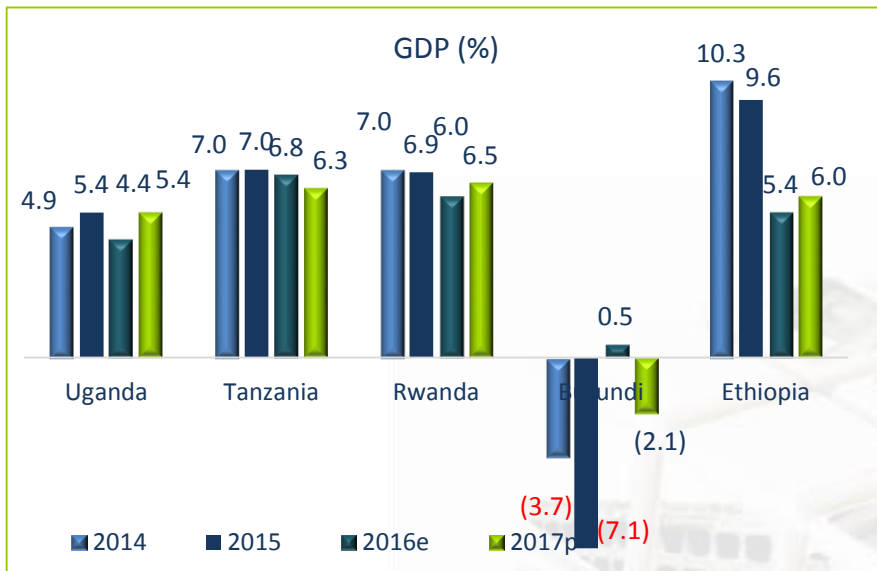


12 Month Private Sector Credit Growth



Source: CBK

Macro-Economic Highlights: Regional



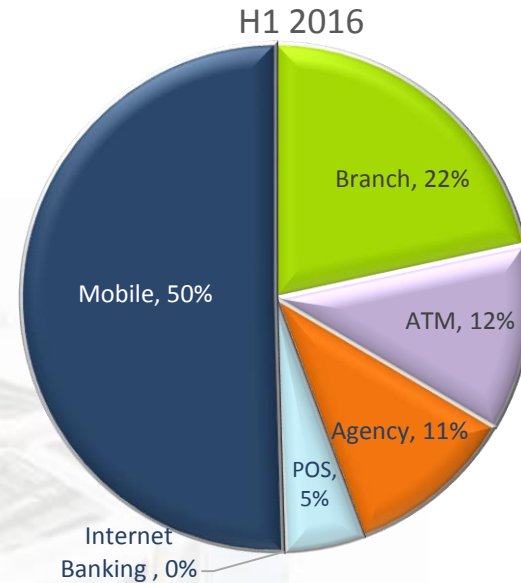
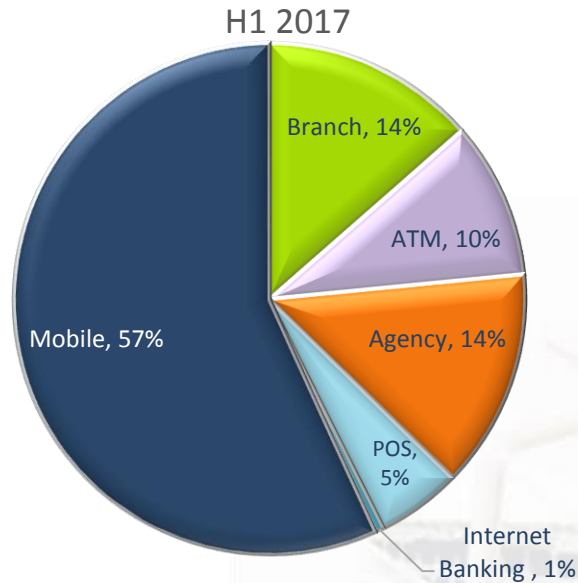
Exchange Rates to USD (Period Average)			
Country	FY 2016	Q1 2017	Q2 2017
Burundi	1,629	1,690	1,643
Uganda	3,484	3,598	3,491
Tanzania	2,186	2,231	2,207
Rwanda	785.6	822.9	827.9
South Sudan	44.3	109.0	111.4

Sources: IMF, BMI

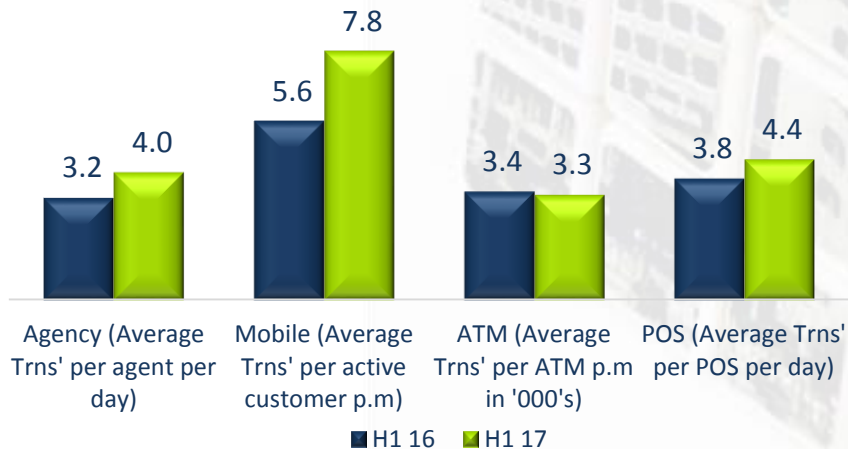
DIGITAL CHANNEL PERFORMANCE



86% of Transactions outside the Branch



Channels Activity



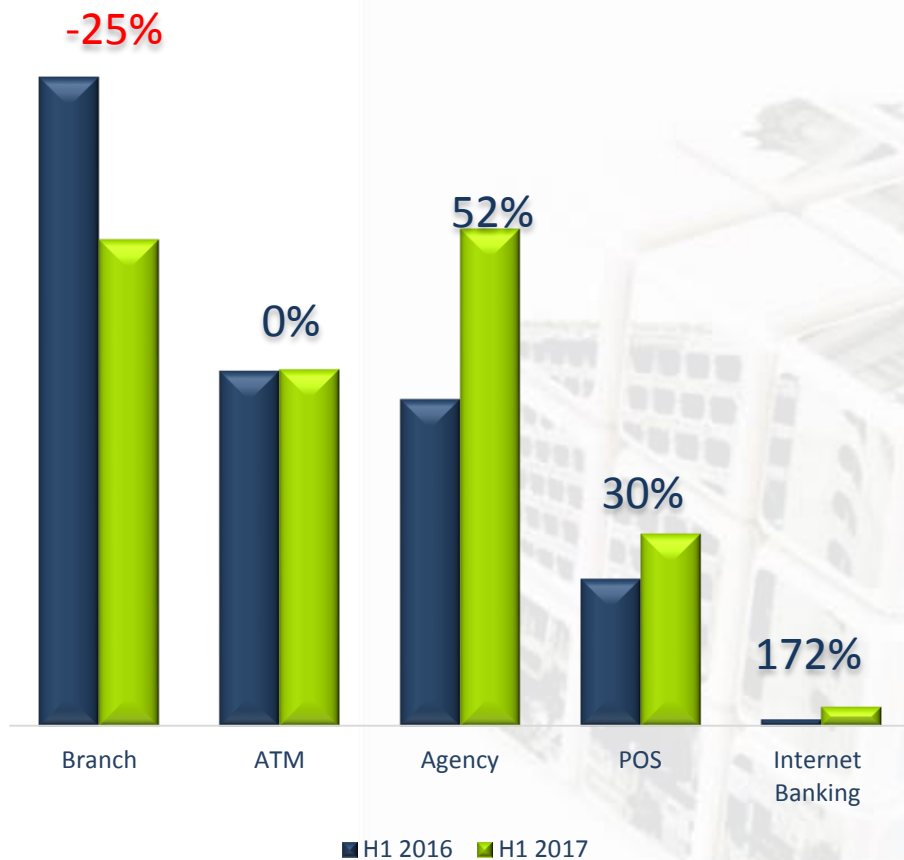
Channel Volumes KShs B



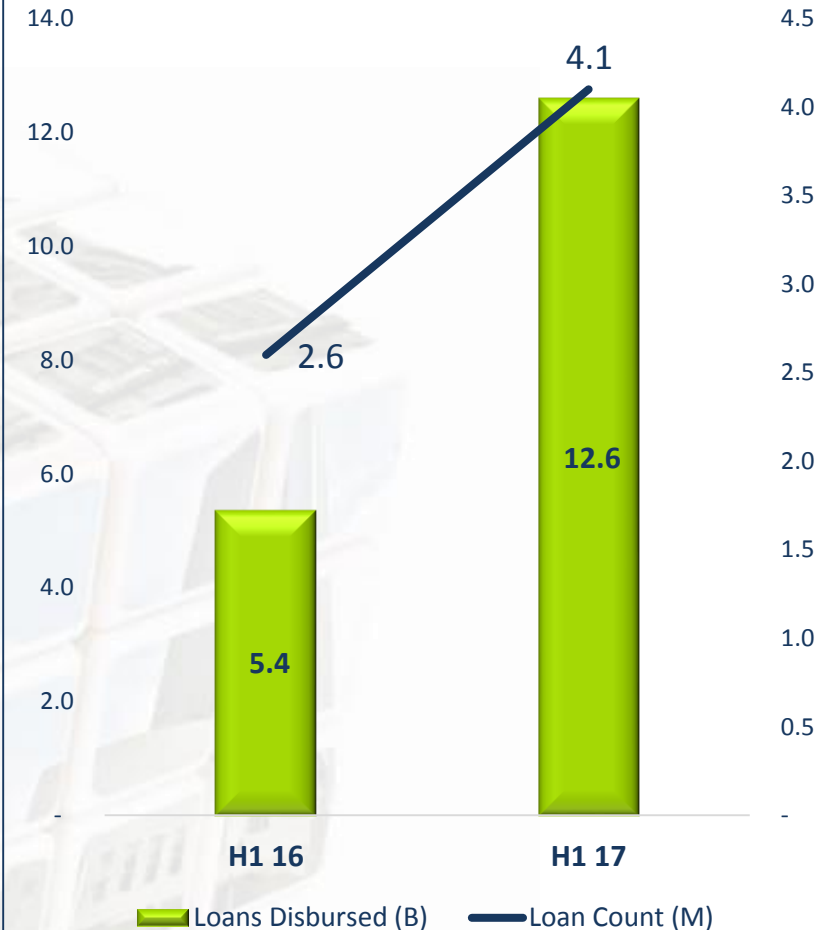
Source: KCB data

Increased Activity on Digital Channels

Evolution of Channel Activity



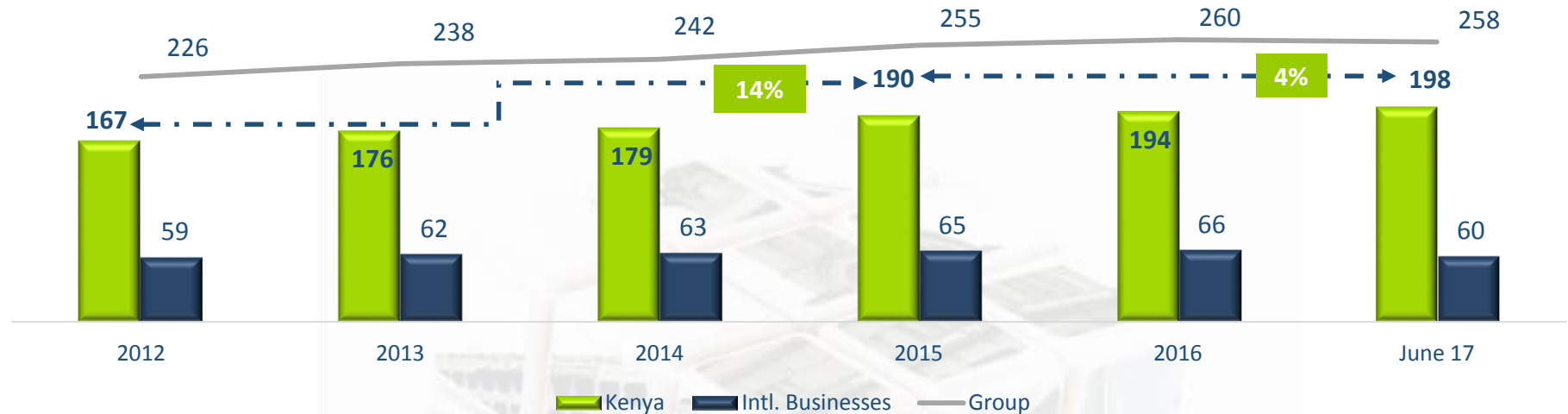
Mobile Loan Evolution



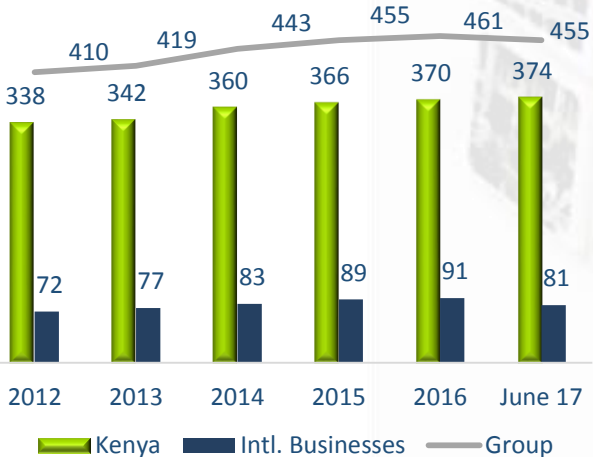
Source: KCB data

Channel Development

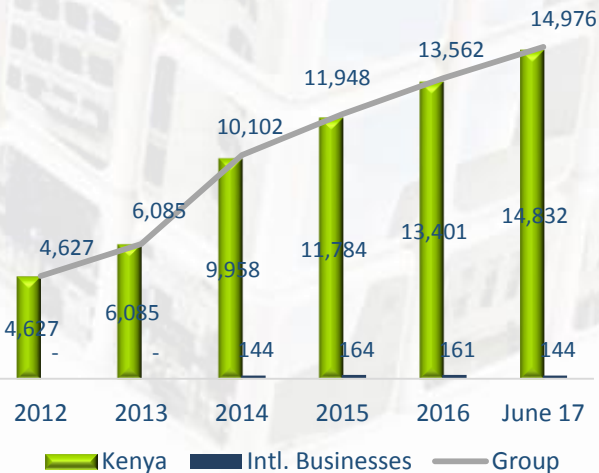
Branches



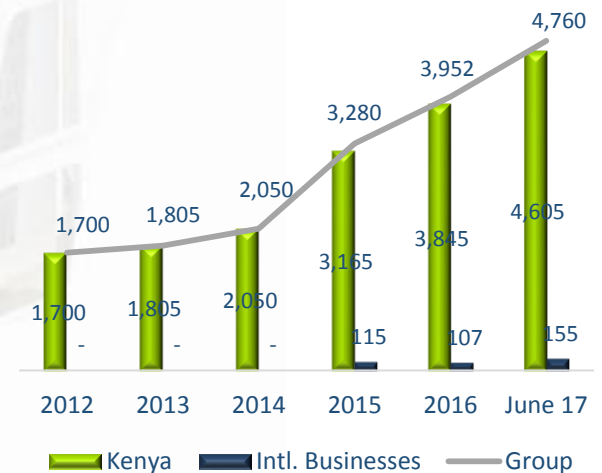
ATMs



Agents



Merchant/POS

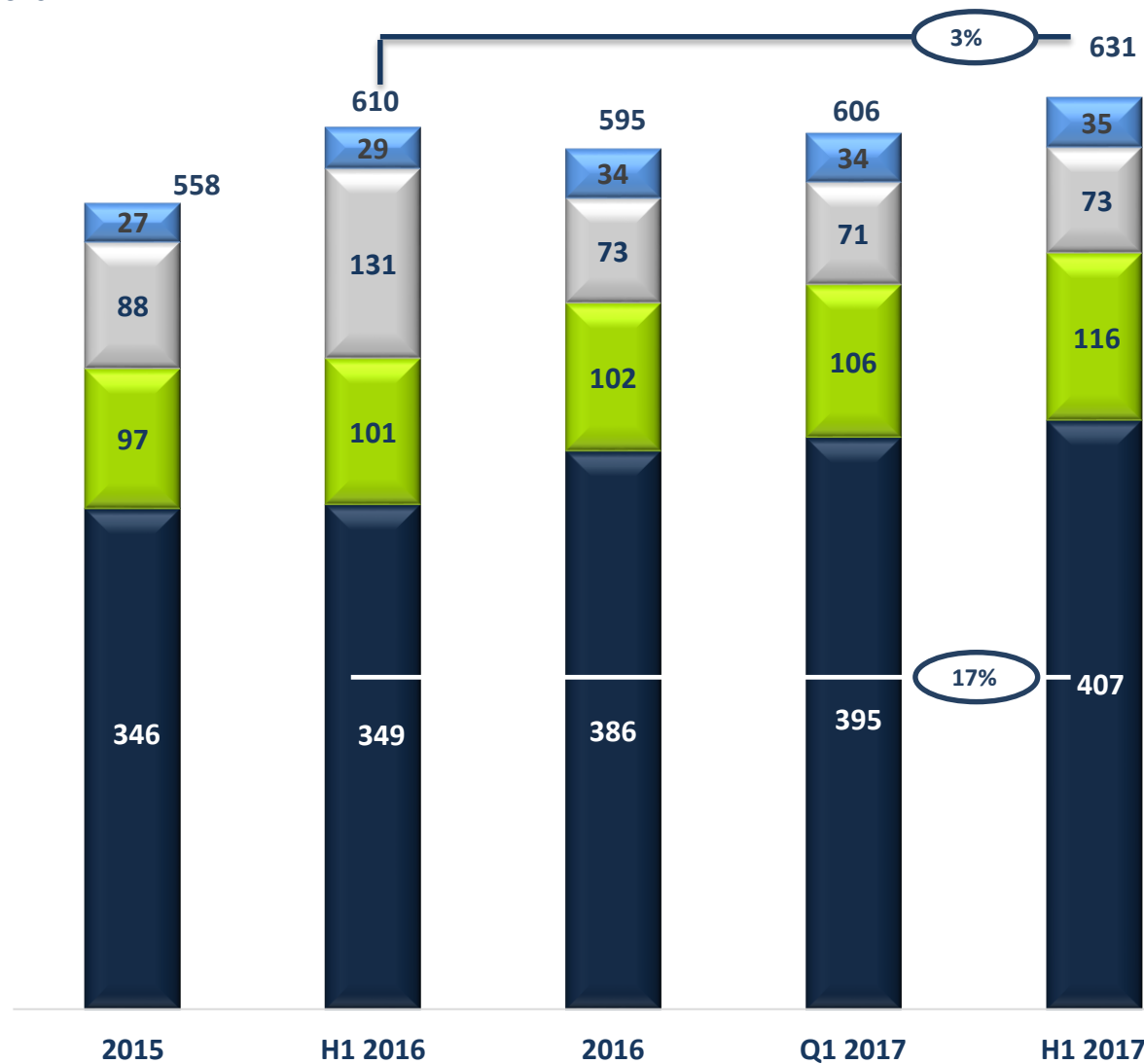




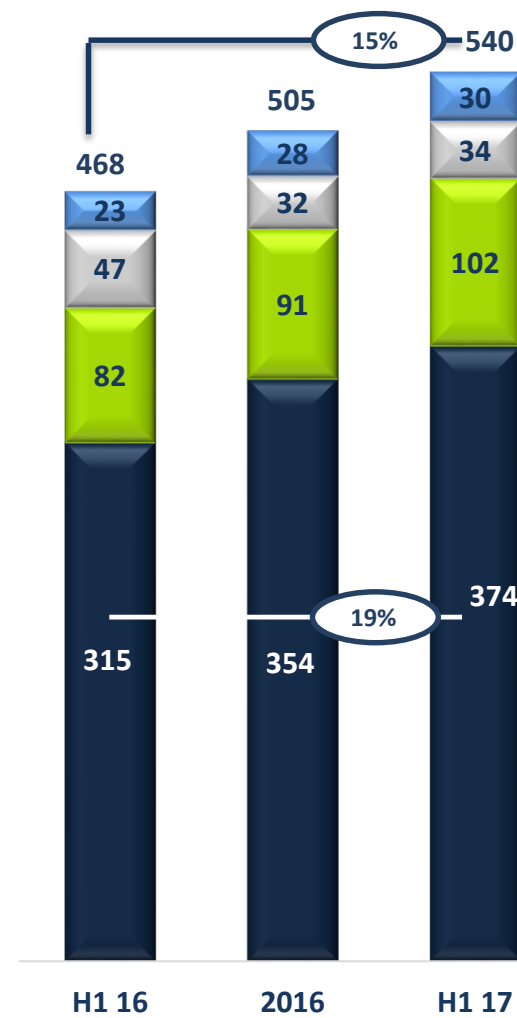
OUR PERFORMANCE TO DATE

17% Growth in Loans and Advances driven by the Kenya Business

KShs B

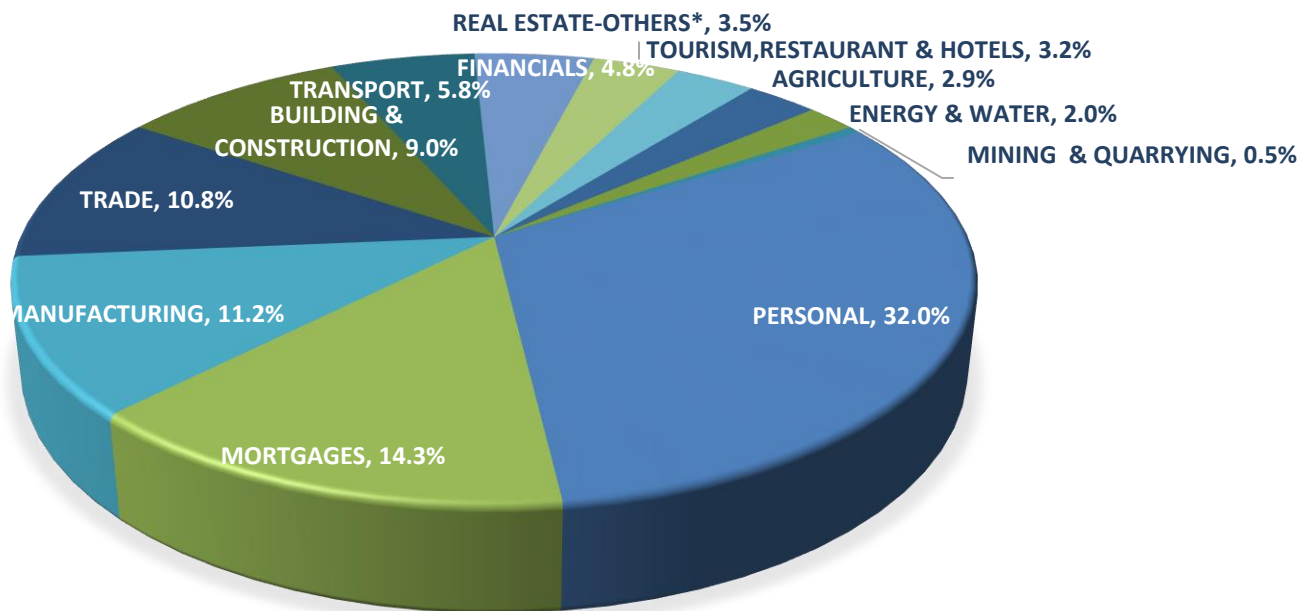


Kenya Asset Portfolio



Net Loans and advances Investment in Govt. Securities Cash and Balances with Central Bank and other Financial Institutions Other Assets

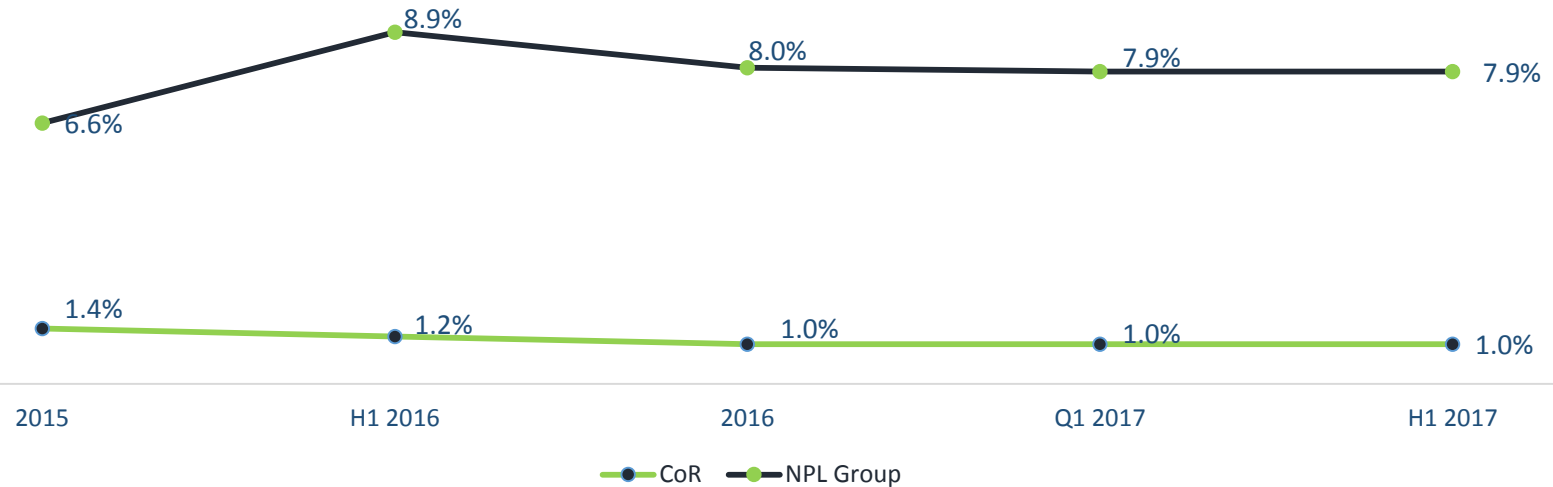
Evolution and Distribution of the Loan Book



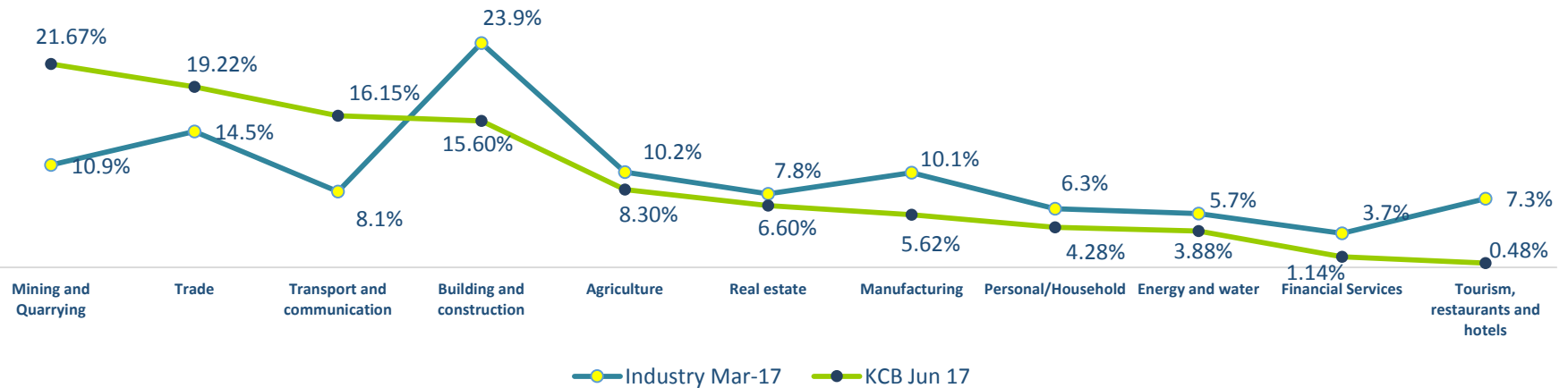
*Kenya



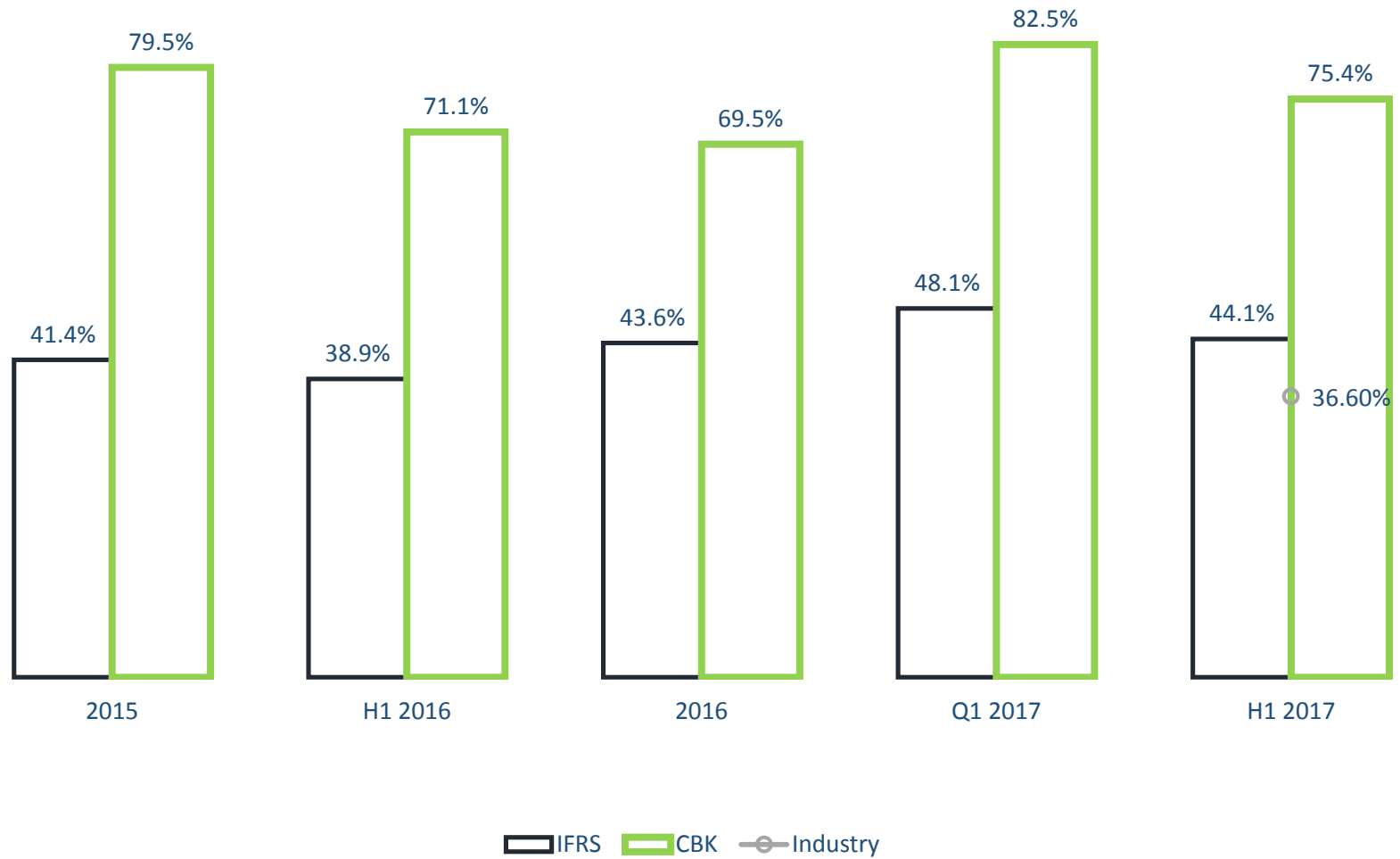
Asset Quality within guidance level



NPL Distribution

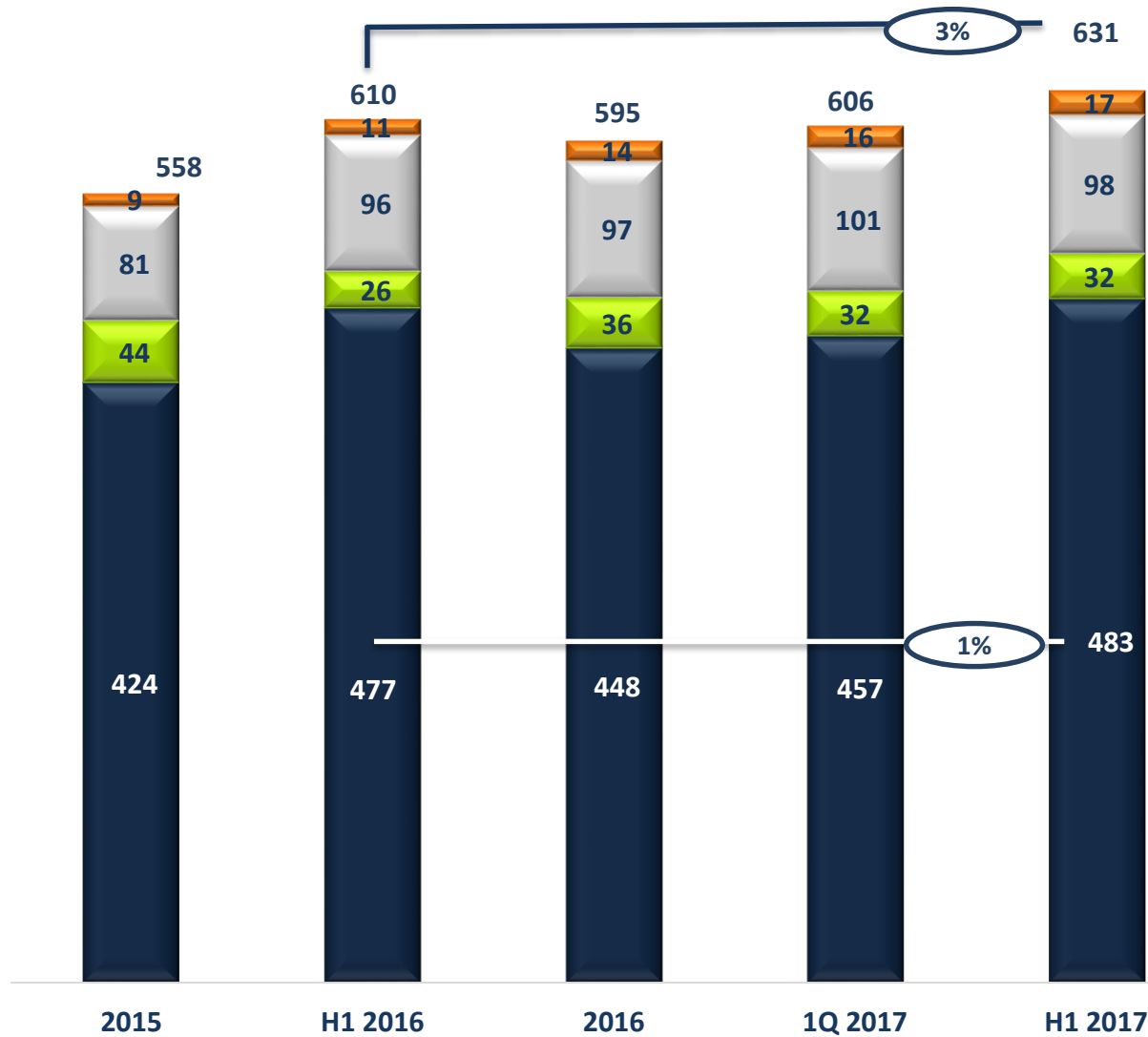


Stable Coverage Position

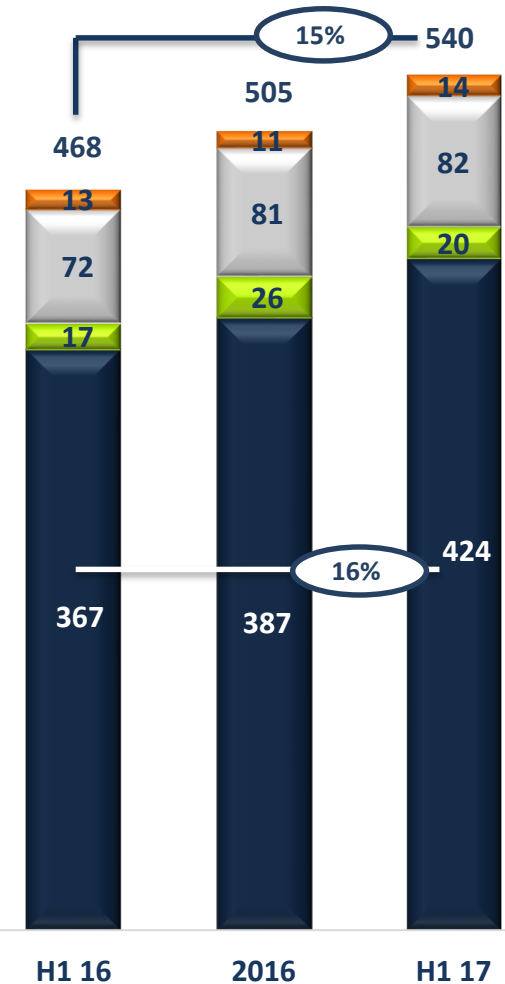


77% of Funding from Deposits

KShs B

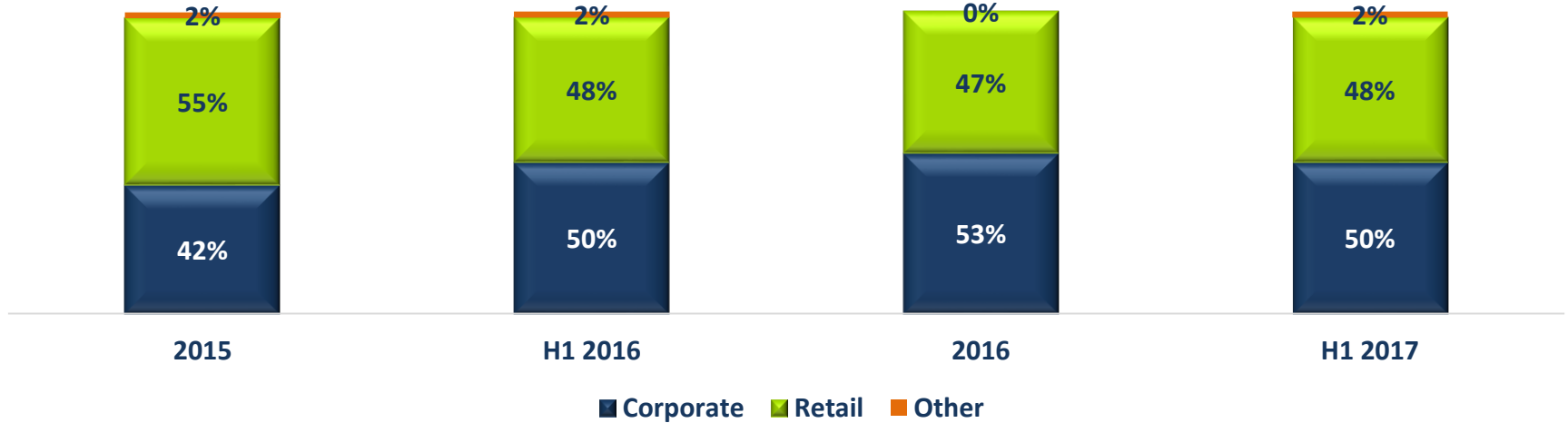


Kenya Funding Portfolio



Deposits Bal. to banks and debt Equity Other Liabilities

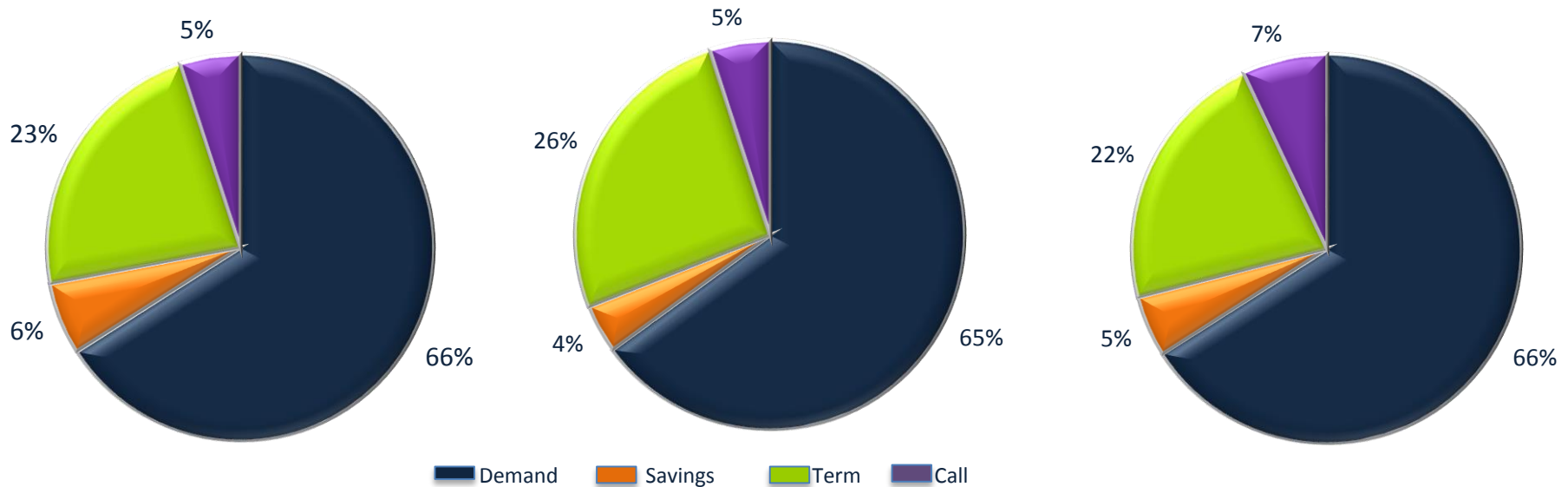
CASA driving 71% of Deposits



Deposits by Type H116

Deposits by Type FY16

Deposits by Type H117

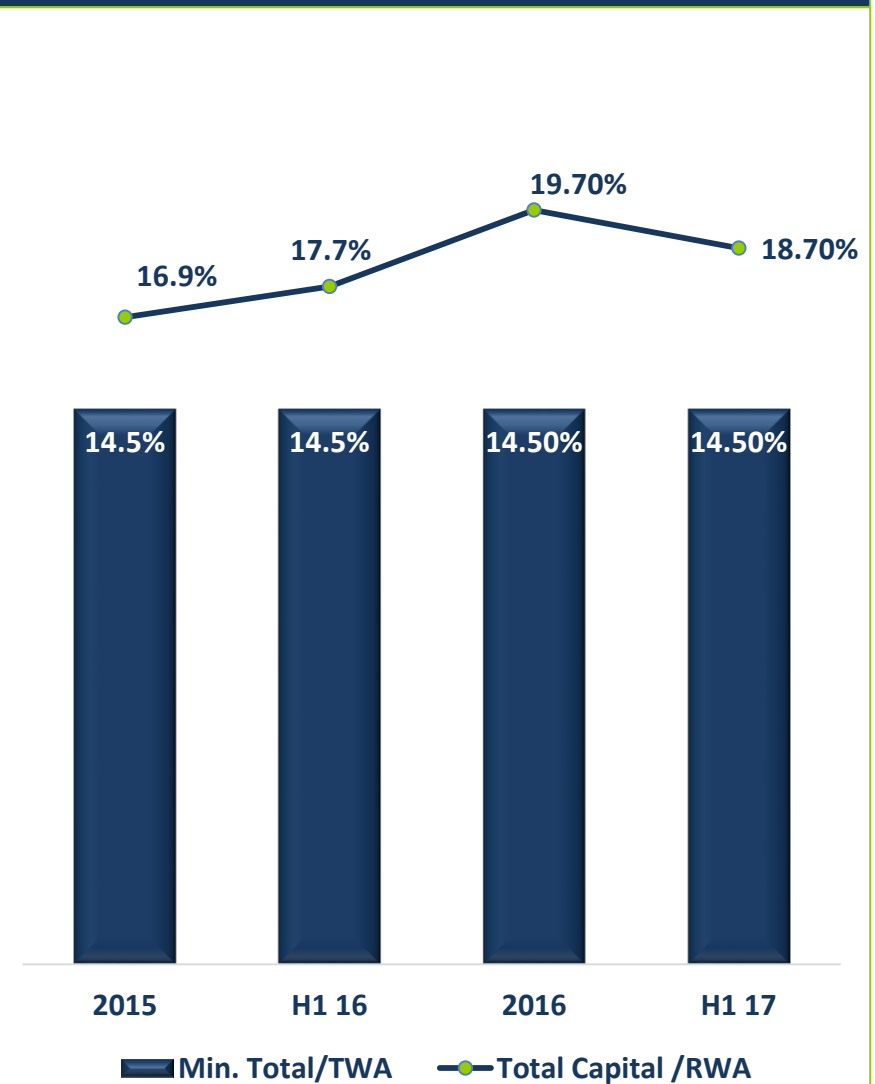


Adequate Headroom on Capital Ratios

Group Core Capital to RWA



Group Total Capital to RWA



Stable Balance Sheet supported by 17% growth in Loans

KShs Millions	KCB Bank Kenya			KCB GROUP		
	Actual H1-16	Actual H1-17	Y-O-Y Change	Actual H1-16	Actual H1-17	Y-O-Y Change
Cash	6,591	6,850	4%	11,271	9,887	(12%)
Balances with Central Bank	34,926	18,456	-47%	34,926	20,006	(43%)
Balances with other institutions	5,797	9,043	56%	84,948	43,271	(49%)
Investments in Government & Other securities	82,116	101,752	24%	101,497	115,795	14%
Net loans and advances*	315,327	373,809	19%	348,696	406,976	17%
Fixed assets	8,683	9,327	7%	13,082	12,994	(1%)
Other assets	14,680	20,735	41%	15,787	21,680	37%
Total Assets	468,119	539,972	15%	610,207	630,608	3%
Customer Deposits	366,821	423,696	16%	476,520	482,845	1%
Balances due to other banks	1,136	8,210	623%	8,320	15,419	85%
Other liabilities	12,854	13,705	7%	11,163	17,281	55%
Long-term debt	15,486	11,973	-23%	17,746	16,733	(6%)
Total Liabilities	396,29	457,584	15%	513,749	532,277	4%
Shareholders' Equity	71,822	82,388	15%	96,458	98,331	2%
Total Liabilities and Equity	468,119	539,972	15%	610,207	630,608	3%

*Gross Loans: 419,439M

Level YoY P&L performance

KShs Millions	KCB Bank Kenya			KCB GROUP		
	Actual H1-16	Actual H1-17	Y-O-Y Change	Actual H1-16	Actual H1-17	Y-O-Y Change
Interest Income	28,291	27,174	(4%)	31,609	30,363	(4%)
Interest Expense	(7,783)	(5,974)	(23%)	(9,107)	(7,214)	(21%)
Net interest income	20,508	21,200	3%	22,501	23,149	3%
Foreign exchange income	1,036	1,540	49%	2,567	2,645	3%
Net fees and commissions	4,613	5,324	15%	6,304	7,210	14%
Other income	2,111	1,042	(51%)	2,337	1,633	(30%)
Total operating income	28,268	29,106	3%	33,709	34,637	3%
Total operating expenses	(12,529)	(13,696)	9%	(15,633)	(16,909)	8%
Net provisions for bad debts	(1,775)	(1,630)	(8%)	(2,061)	(2,013)	(3%)
Profit Before Loss on Monetary Position	13,964	13,780	(1%)	16,015	15,715	(2%)
Loss on Monetary Position	-	-	-	(1,182)	(963)	(2%)
Profit before tax	13,964	13,780	(1%)	14,833	14,752	(1%)
Tax	4,189	4,145	(1%)	4,552	4,491	(1%)
Profit after tax	9,775	9,635	(1%)	10,281	10,261	0%

Overview of Key Financial Ratios

H1 16	FY16	Q1 17		KENYA	GROUP
24.4%	22.2%	20.3%	Return on Average Equity	23.6%	21.1%
47.9%	47.6%	52.5%	Cost to Income	47.4%	51.8%
8.9%	8.0%	7.9%	Gross NPL to Gross Loans	7.8%	7.9%
71.1%	69.5%	79.6%	NPL Coverage	84.6%	75.4%
19.5%	23.8%	23.3%	Debt to Equity	14.5%	17.0%
31.6%	32.3%	35.0%	Non funded income to total income	28.3%	33.5%
3.9%	3.3%	3.1%	Cost of funds	2.8%	2.9%
9.7%	9.6%	7.9%	Net Interest Margin	9.2%	8.6%
1.4%	1.0%	1.0%	Cost of risk	0.9%	1.0%
80.2%	86.1%	86.6%	Loan to Deposit Ratio	90.7%	86.9%
8%	11%	14%	Growth of Net Loans and Advances	19%	17%
-2%	6%	8%	Growth of Customer Deposits	16%	1%

Following these results, the Board of Directors approved payment of an interim dividend of KShs: 1.00 per share.

The dividend will be paid on or about, 31 October 2017, to shareholders registered at the close of business on 4 September 2017.



Thank you.

Investor Relations
Email: investorrelations@kcb.co.ke
www.kcbbankgroup.com